



ENERGI

Green Financing Report
2025

Introduction

Å Energi is one of Norway's major regional utilities and representing the largest vertically integrated energy utility with business activities across the entire value chain. The enduser activity within Å Entelios has a strong presence also in the Nordics.

Key numbers for the group as a whole are annual mean hydro power production of 12.9 TWh, more than 430,000 grid customers, 320,000 household customers and close to 50 TWh under management to the business end user market. The combined group also contributes considerable value creation for the community, among other taxes and dividends to our public owners and extensive use of subcontractor markets.

Green bonds and loans support Å Energi's sustainability strategy and

our ambition to increase the capacity of renewable power production and facilitate the green transition. Å Energi updated its green financing framework in the fall of 2025 to support and continue the green financing opportunities for our business activities. The new framework was adjusted to also facilitate acquisitions of new assets in the grid business area, to align eligible projects to the hydro power business area.

Eligible projects for 2025 is selected in accordance with the updated

framework. All allocated projects have been assessed against and comply with the criteria set out in the Å Energi Green Financing Framework. All projects have been assessed against the threshold criteria set out in the framework, including requirements related to life cycle emissions and/or energy efficiency.

1. Green Financing Framework

Å Energi's current Green Financing Framework is dated November 2025. The framework is focused on financing projects within the main business activities hydro power production and distribution grid, as well as related potential future business areas as onshore wind power. Traditionally, the two main business areas have represented a vast majority of investments and will also form the main share of investments going forward. Å Energi have strong ambitions playing an

active part in the green transition to increase clean renewable power production and grid capacity. The group's strategic goal is focused growth within grid, hydro power production and energy management.

The green financing framework includes both financing and refinancing activities without limitation on look-back period for new investments, acquisitions and reinvestments within hydropower and grid, offering the

Å Energi Group a comprehensive opportunity to raise green financing.

Projects eligible to be included in the project pool for green financing according to the green financing framework are within the two categories *renewable energy and energy efficiency*, please see the overview set out in the table below.

Categories	Eligible Projects	UN SDGs	
Renewable Energy	Acquisition, construction, development, expansion, maintenance and upgrading of facilities and technologies for renewable energy and related infrastructure. This could include, but is not limited to:		Ensure access to affordable, reliable, sustainable and modern energy for all
	- Hydropower which meets at least one of the following three criteria: - Run-of-river plant without an artificial reservoir, or - Life-cycle GHG emissions from the generation of electricity from hydropower < 100g CO2e/kWh, or - Power density of the electricity generation facility > 5W/m2 - Offshore wind power - Solar power - Photovoltaic energy projects (PV), concentrated solar power (CSP), or solar thermal heating		Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all
			Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation
			Ensure sustainable consumption and production patterns
Energy Efficiency	- Grid investments as defined by the regulatory asset base (NO: Nettkapital) as reported by Å Energi. The regulatory asset base is approved by the Norwegian Energy Regulatory Authority (NVE-RME) on an annual basis. Projects under construction that will be added to the regulatory asset base when completed are also included. - Development and implementation of digital tools to increase grid efficiency, and/or investments in smart grids		Ensure access to affordable, reliable, sustainable and modern energy for all
			Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all
			Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation

The green financing framework was submitted for review by S&P Global Ratings. The framework was assigned the highest rating of dark green. The overall review concludes that the Å

Energi green financing framework is aligned with the green bond and loans principles, ICMA 2025, LMA/LSTA/APLMA 2025.

Second Party Opinion

Å Energi Green Financing Framework

Nov. 14, 2025

Location: Norway

Sector: Energy

Alignment Summary

Aligned = ✓ Conceptually aligned = ○ Not aligned = ✕

✓ Green Bond Principles, ICMA, 2025

✓ Green Loan Principles, LMA/LSTA/APLMA, 2025

Dark
green

Activities that correspond to the long-term vision of a low-carbon climate resilient future.

2. Green financing and allocation

Å Energi had a relatively busy funding activity throughout 2025 and in line with 2024, issuing in total 8 new green bonds raising NOK 5.6 bn in the bond market. The funding holds a maturity distribution between 2 and 8 years. The green bonds were very well received in the market by the investors, illustrated by a comfortable oversubscription during the funding processes.

The green bond financing in 2025 under the framework is set out in the table below, divided in financing of new investments and reinvestments for eligible projects within the renewable energy and energy efficiency categories totaling NOK 4.5 bn, as well as refinancing of NOK 1.1 bn allocated to the energy efficiency category. More specifically, the majority of the financing part was allocated to partly

fund the acquisition of 85% of the shareholding in AS Saudefaldene and Trælandsfoss, as well as the two step take-over of the shares in Fredrikstad Energi (FEAS) in November 2024 and August 2025. The refinancing part of NOK 1.1 bn is entirely related to the refinancing of external debt in the FEAS group (the Norgesnett part) completed in 1H 2025.

Green bonds (NOK mill.)	Bond duration	Issued 2025	Financing	Refinancing
AEN 81 ESG	2025-2033	750	601	149
AEN 82 ESG	2025-2032	750	601	149
AEN 83 ESG	2025-2031	600	481	119
AEN 84 ESG	2025-2030	650	521	129
AEN 85 ESG	2025-2027	500	401	99
AEN 86 ESG	2025-2030	500	401	99
AEN 87 ESG	2025-2028	600	481	119
AEN 88 ESG	2025-2033	1,200	962	238
Total		5,550	4,450	1,100

Further to the allocation, the loan raised with Nordic Investment Bank in 2024 is earmarked for a portfolio of new invest-

ments and reinvestments within the distribution and regional grids (energy efficiency) over a time period of a few

years. The projects are being in the construction phase and expected to be completed within 2026/2027.

Green loans (NOK mill.)	Loan duration	Issued 2024	Financing
NIB L7505	2024-2034	1,000	520

Å Energi has established a green finance committee (GFC) to evaluate and select assets that are in line with the criteria set out in the use of proceeds section of the green financing framework. The committee meets at least on an annual basis or when needed. The green finance committee is comprised of representatives from group treasury, relevant business units and an environmental specialists in the organization, where the sustainability representative has veto. The committee agrees to the allocation set out in the following section.

Å Energi completed during 2025 a substantially increased investment volume compared to the level the previous year. Eligible projects for green financing amount to NOK 4.3 bn in Glitre Nett including FEAS (Norgesnett part) acquisition/refinancing and NOK 2.9 bn in Å Energi Vannkraft including the Saude-faldene/Trælandsfoss-transaction.

The investment activity in these two business areas will increase considerably in the years to come as a consequence of the group's high ambitions. Å Energi is planning a number of hydroelectric power projects including new power stations, upgrades and capacity increases.

The grid segment has implemented a number of measures to facilitate for customers to connect to the grid as quickly as possible. Conditional grid connections, digitalization, greater use of power system protection, etc. is helping to operate the existing power grid closer to its capacity limit. Nevertheless, intelligent operation of the existing grid is insufficient to meet high customer demand, so a lot of new infrastructure must also be built. Glitre Nett is planning to invest in the order of NOK 2.2 bn per year the next 10 year period.

For 2025, Å Energi Vannkraft has a broad portfolio of relatively small project investments, both new investments and reinvestments. Within the project portfolio, Frøytlandsfoss is a new hydro power plant with an annual production of 10 GWh, situated in the Feda-water course in Kvinesdal municipality. The project cost is NOK 75 mill.

Ongoing projects that are planned to be in operation in 2026-2027, will be adding another 30 GWh of hydro power production. The total amount of eligible project investments in the renewable energy category is NOK 2.9 bn, of which NOK 2.2 bn in new investments/acquisitions and NOK

0.7 bn in reinvestments. Å Energi has for 2025 chosen a portfolio approach for reporting the selection of eligible projects. The same goes for reporting for the energy efficiency category, several relatively small scale projects add up to the sum of NOK 2.3 bn in new investments/acquisitions and NOK 2 bn in reinvestments/refinancing in 2025.

Nevertheless, the investments secure stable operations, high availability and quality of the companies' portfolio of hydro power and power grid assets. The groups acquisitions within the main business activities hydro power and grid last years has increased considerably the group level of activities and expanded the market importance and presence.

Investments eligible for financing by the green bond issues under the framework is set out in the table below, distributed between new investments/acquisitions, and reinvestments. The total investments allocated to green bonds sum up to NOK 4.5 bn. The remaining part of the bonds of NOK 1.1 were allocated to refinancing of external debt in FEAS (Norgesnett part). All green bonds were fully allocated as at 31.12.2025.

Allocation of funds (NOK mill.)	Project cost	Allocated 2025	AEN 81	AEN 82	AEN 83	AEN 84	AEN 85	AEN 86	AEN 87	AEN 88
Renewable Energy										
New investments and acquisitions	2,154	1,525	206	206	165	179	137	137	165	330
Reinvestments	720	500	68	68	54	59	45	45	54	108
<i>Total Renewable Energy</i>	<i>2,874</i>	<i>2,025</i>	<i>274</i>	<i>274</i>	<i>219</i>	<i>237</i>	<i>182</i>	<i>182</i>	<i>219</i>	<i>438</i>
Energy Efficiency										
New investments and acquisitions	2,293	1,725	233	233	186	202	155	155	186	373
Reinvestments	873	700	95	95	76	82	63	63	76	151
<i>Total Energy Efficiency</i>	<i>3,166</i>	<i>2,425</i>	<i>328</i>	<i>328</i>	<i>262</i>	<i>284</i>	<i>218</i>	<i>218</i>	<i>262</i>	<i>524</i>
Total financed		4,450	601	601	481	521	401	401	481	962
<i>Total refinanced Energy Efficiency</i>		<i>1,100</i>	<i>149</i>	<i>149</i>	<i>119</i>	<i>129</i>	<i>99</i>	<i>99</i>	<i>119</i>	<i>238</i>
Total allocated		5,550	750	750	600	650	500	500	600	1,200

The eligible project investments are distributed geographically as follows:

	Price area NO1	Price area NO2
Renewable Energy	5%	95%
Energy Efficiency	82%	18%

For further details, reference is made to the green bond reports for previous years together with the former frameworks, available at [Å Energi's web site](#).

3. Impact reporting

The emission impact for new capacity of hydro power production within Å Energi Vannkraft is based on the NPSI Position paper on green bonds impact reporting 2024, giving a standardized calculation method for reduced CO₂ equivalents for emissions of greenhouse gases for this kind of business activity. We plan to continue this reporting standard for hydro power projects that add production capacity.

For 2025, Å Energi Vannkraft has completed several relatively small project investments for refurbishment. The Frøylandsfoss hydro power plant was completed in 2025 with an annual production of 10 GWh, is the only project offering new production capacity. The reduced CO₂ equivalents is calculated to 1,910 ton¹. New ongoing

investments will be completed the next couple of years, also yielding some additional production.

Å Energi Vannkraft is now in the process of projecting and planning new plants and investments to follow Å Energi's high ambition to increase clean and renewable hydro power production to facilitate for the green transition. Taking into consideration the broad and relative comprehensive evaluation process to obtain a license, we expect a few years before investment decisions may be obtained.

For the power grid business activity, it is challenging to find impact measures that are appropriate and consistent over time. The traditional measures for grid companies are among others efficiency

in operations and capital compared to other peer companies, availability, grid loss. Severe climate effects as heavy storms and snow weather, causing outages both short and longer periods of time, disturb these measures from giving an accurate expression of the underlying effects of the investments.

In general, Glitre Nett is aiming at distributing power to its customer with highest availability at lowest cost for the customer, reduce grid losses and increase the delivery capacity in its distribution and regional grids, making use of available technology and digital measures. Some more neutral figures describing the development and extent of the operations and investments within regional and distribution grid are set out in the table below.

	2021	2022	2023	2024	2025*
Total power delivered (MWh)	8,009,792	7,239,175	7,327,451	7,475,519	9,754,653
Number of customers (household and business)	309,499	313,460	317,029	318,991	426,527
SAIDI (System Average Interruption Duration Index (minutes))	151.91	112.67	185.67	131.06	214.81

* Glitre Nett's increase in figures in 2025 is due to a merger with Norgesnett AS.

Glitre Nett has in March 2025 adopted a new plan of action on climate and nature for 2025-27. It is wholly aligned with the new strategy on sustainability for Å Energi. The plan of action includes steps to reduce the company's emissions, reduce negative impacts on nature and biodiversity, and increase

its percentage of reused and recycled materials in purchases and waste. This will include introducing new tools to account for de facto CO₂ emissions and impact on the nature in surrounding areas in projects – as opposed to estimates from invoices today. Further, together with the 10 other largest

grid companies and standard setting body for grid companies, Glitre Nett develops principles on issues such as the pace for outsourcing SF₆ gas use, thresholds and scopes for environmental overviews in smaller projects, etc.

¹ Emission factor for electricity: Combined margin 191 gCO₂/KWh. NPSI Position paper on Green Bonds Impact Reporting 2024.

4. Business controller verification

The business controllers of Å Energi Vannkraft AS and Glitre Nett AS confirm to have supplied correct numbers as the basis for the selection process for eligible project according to the green financing framework and use of

proceeds from the green bonds and loans. Projects not eligible have been taken out if the criteria has not been met. The selection process has been supervised and accepted by the group head of sustainability.



Between now and 2035, Glitre Nett will invest over NOK 20 billion on expanding and modernising the grid. This will help to make it more reliable, reduce greenhouse gas emissions and enable new industrial development and jobs.

